MGT 202: Small Business Management

Chapter 4: Franchising & Buying an Existing Business

Topic: Evaluating Alternative Pathways to Entrepreneurial Entry

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Learning Objectives & Lecture Roadmap

1. Franchising Fundamentals

Define franchising, distinguish franchisor/franchisee roles, and compare Product vs. Business-Format arrangements.

2. Financial & Contractual Terms

Analyze initial fees, royalty calculations (e.g. 6% gross), ad contributions, and operational restrictions.

3. 7-Step Evaluation Framework

Apply the structured 7-step process to audit franchisor history, FDD disclosures, and franchisee feedback.

4. Buying an Existing Business

Examine buyout motives, due diligence procedures, and 3 valuation methods (Asset, Market, Cash-Flow).

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Comparing Three Entry Pathways into Business

New Independent Startup

- **Full Operational Autonomy**: Freedom over product, price, and branding.
- **High Setup Risk:** Unproven demand & trial-and-error costs.
- **Slow Growth**: Must build customer base & supplier ties from scratch.

Franchise System

- **Proven Model:** Recognized brand, standard systems & training.
- **Restricted Autonomy:** Mandatory operational rules & controls.
- **Ongoing Fees:** Initial fee + monthly royalties & ad levies.

Buying Existing Business

- **Functioning Assets:** Established plant, inventory, staff & cash flow.
- **Historical Data:** Multi-year records reduce market uncertainty.
- **Inherited Risk:** Threat of hidden debts, poor reputation, or bad stock.

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Franchising Dynamics & Essential Terminology

Core Structural Parties

- **Franchisor:** Parent company owning the trademark and operational system, granting commercial operating rights.
- **Franchisee:** Independent entrepreneur investing capital to acquire local rights to operate under franchisor brand.
- **Franchise Contract:** Legal agreement governing territory, fee structure, quality standards, and termination terms.

Financial & Disclosure Terms

- **Initial Franchise Fee:** Upfront non-refundable payment for joining system, site approval, and initial operational training.
- **Royalty Fee:** Continuous payment (typically 4%–8% of gross sales) for ongoing system and brand usage.
- **Disclosure Document (FDD):** Mandatory pre-sale document detailing 23 operational areas including fees, litigation, and turnover.

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Franchise Types & Two Men and a Truck® Case

1. Product & Trade-Name Franchising

Grants distribution rights for specific products under franchisor trademark (e.g. fuel stations, auto dealerships).

2. Business-Format Franchising

Complete package: operations system, site selection, marketing, staff training, and continuous support.

CASE STUDY ANCHOR: Two Men and a Truck® (SBM SA 2e Case 4)

- Entrepreneurial Growth: Founded by Mary Ellen Sheets from a single $350 pickup truck; grew into 1,200+ trucks worldwide.
- Operational Standardization: Franchisees complete Stick Men University® for rigorous operational and customer service training.
- Core Customer Principle: Built around 'The Grandma Rule®' — treating every customer with the care you would give your grandmother.

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Franchise Financial Structure & Worked Calculation

Five Franchise Cost Categories

- **1. Initial Franchise Fee:** One-time entry fee paid upfront.
- **2. Investment Costs:** Plant, equipment, fit-out, inventory.
- **3. Royalty Fee:** 4%–8% continuous levy on gross revenue.
- **4. Advertising Fee:** 1%–3% contribution to national ad fund.
- **5. Working Capital:** Cash buffer to fund initial operating losses.

Worked Class Calculation (Royalty Impact)

Monthly Gross Revenue: P100,000

Less: Royalty Fee (6%): - P6,000

Less: Ad Fund (1%): - P1,000

Total Top-line Franchise Levy: **- P7,000**

Net Operating Revenue Remaining: **P93,000**

Note: P93,000 must cover local wages, rent, inventory stock, and utilities BEFORE franchisee profit.

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7-Step Framework for Evaluating Franchises

Step 1: Self-Assessment: Evaluate personal skills, capital budget, tolerance for rules, and lifestyle goals.

Step 2: Market Investigation: Research available franchise systems, local competition, and territory demand.

Step 3: Franchisor Audit: Investigate franchisor's track record, financial stability, and litigation history.

Step 4: Franchisee Interviews: Speak with current/former operators regarding actual profitability & franchisor support.

Step 5: Financial Projections: Estimate total capital required (initial fee + equipment + 6-month working capital).

Step 6: Document Audit (FDD): Scrutinize contract terms, territorial rights, encroachment rules, and renewal fees.

Step 7: Professional Advice: Obtain independent review from experienced commercial legal and accounting advisers.

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Four Reasons for Buying an Existing Business

1. Reduced Startup Risk

Historical sales, established customer loyalty, and known cost structures eliminate early market trial-and-error.

2. Ongoing Operations Intact

Immediate access to trained staff, active plant & equipment, established vendor contracts, and physical facilities.

3. Favourable Purchase Price

Sellers under distress or retirement may price the enterprise below current asset replacement cost.

4. Immediate Cash Flow Generation

Revenue collection begins on day one of ownership transfer, reducing initial working capital burn.

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Due Diligence: Investigating Business Buyouts

Financial Due Diligence

- Audit 3–5 years financial statements & tax filings.
- Verify cash flow vs accounting profit conversion.
- Inspect aged receivables for bad debt exposure.
- Review outstanding debt & tax liabilities.

Operational Due Diligence

- Inspect plant, machinery & equipment condition.
- Audit inventory for age, obsolescence & value.
- Evaluate employee retention & owner dependence.
- Review facility lease duration & assignment terms.

Market Due Diligence

- Analyze customer concentration (>20% in 1 client).
- Assess local competitor threats & market trends.
- Confirm key vendor/supplier continuity post-sale.
- Determine exact seller motive for business disposal.

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Business Valuation Methods & Deal Closing

Three Valuation Methodologies

- **Asset-Based Valuation:**

  Calculates net tangible asset value:

NAV = (Fair Asset Value - Liabilities).

- **Market-Comparable Approach:**

  Applies earnings multipliers based on recent market sales of similar firms.

- **Cash-Flow Based Method:**

  Discounts future projected cash flows to present value (DCF / capitalized earnings).

Closing the Buyout Transaction

- **1. Bill of Sale:** Legal document formally transferring ownership of business assets.
- **2. Tax Clearances:** Confirming no outstanding tax obligations transfer to buyer.
- **3. Lease Assignment:** Securing landlord consent for premises lease transfer.
- **4. Payment Escrow:** Holding purchase funds until all pre-conditions are met.

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Summary & Classroom Discussion Prompts

CORE LECTURE TAKEAWAY

Franchising and business buyouts offer proven operating systems and reduced market risk compared to new startups. However, success demands rigorous financial due diligence, contract scrutiny, and understanding operational restrictions.

Discussion Prompt 1: Operational Autonomy

How does business-format franchising restrict an entrepreneur's creative freedom? Is the tradeoff for brand recognition worth the loss of autonomy?

Discussion Prompt 2: Cash Flow vs. Accounting Profit

Why can an acquired business show accounting profit on financial statements but still experience severe cash flow failure during transition?